New Hampshire State Financial Profile

New Hampshire maintains a distinct financial identity focused on personal autonomy, operating with neither an individual earned income tax nor a general retail sales tax. Public services are substantially funded through local real estate property taxes.

Financial Questions & Answers

Q1: Does New Hampshire tax individual wages or salary?

A: No. New Hampshire does not impose a state-level individual income tax on earned wages, salary, or compensation.

Q2: What is the status of the New Hampshire Interest and Dividends Tax?

A: The state historically taxed individual interest and dividend income, but this tax has been phased out completely, leaving personal investment returns untaxed at the state level.

Q3: Is there a general sales tax in New Hampshire?

A: No. New Hampshire does not levy a general state-level retail sales tax or use tax on standard consumer goods.

Q4: Why are property taxes high in New Hampshire?

A: Because New Hampshire avoids general income and sales taxes, local municipalities rely heavily on property taxes. Real estate is taxed at 100% of market value using localized mill rates.

Q5: What business taxes apply in New Hampshire?

A: Businesses operate under two primary state taxes: the Business Profits Tax (BPT) levied on net corporate income and the Business Enterprise Tax (BET) levied on a business's total compensation, interest, and dividends paid.

State Cost of Living (COL) Index Appendix

Metric Class	Index Value (Base 100.0)
Composite Cost of Living	115.2
Housing Cost Index	122.9
Income Tax Burden Structure	0.00% (No Earned Income Tax)